
❖ Horizon Asset Management, Inc. ❖

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Interim Market Commentary

Is China in a Bubble?

***Is China in a Bubble?
(or, More on Social Science and the Misuse of Language in Financial Analysis)***

On a daily basis, clients have expressed concerns about “The China Bubble”. The recurrence of such statements in the news has led many to believe that this bubble-like condition is an indisputable fact. Horizon does not believe that the Chinese economy is in a bubble; however we welcome the opportunity created by the controversy. The financial media often choose very specific statistics or facts to forward their points. At Horizon, we are well aware of the misuse of language in financial analysis and reporting. We have chosen to use a Forbes article, dated December 28, 2009, entitled “The China Bubble”, to demonstrate how data and language can manipulate thought. The Forbes article’s sub-heading: “The Chinese economy is humming along in high gear thanks to a fast-growing pile of dicey debt. Such booms tend to end badly,” is a stereotypical lead-in to describe the Chinese economy. This form of rhetoric will likely cause self referenced interim volatility in the Chinese stock market, but ultimately we believe that long-term strong underlying fundamentals and earnings of our Chinese portfolio companies will drive stock prices higher.

Prefatory Considerations

For those who haven’t read the article, it’s easily accessible on the Internet¹. Before commenting, though, some introductory comments are required. First, the mere word “bubble” has an emotive quality that makes difficult a dispassionate analysis. One could even argue as to the formal definition of a bubble, in the financial context. In its journalistic usage, we believe it has come to mean any economic indicator that has greatly increased in value over a brief period. Another definition might be an increase in an equity index that has no basis in the fundamentals. This, too, is subjective, it being unclear who defines what the basis in the fundamentals happens to be.

This brings us to the challenge of any social science in making use of hard and fast numbers, because these must be explained via the mechanism of language. The nuances, imperfections and subtleties of language can easily confuse terms and create problems that do not occur in formal mathematics. Comparing two books that deal with the subject of bubbles, Milton Friedman’s *Monetary History of the United States* and Murray Rothbard’s *America’s Great Depression*, the authors, using essentially the same body of data, arrive at completely opposite conclusions. Friedman concludes that Federal Reserve monetary policy was, generally speaking, well-executed up to the Great Crash of 1929, but not during the Depression itself. Rothbard comes to the exact opposite conclusion.

These and other classic economics books dealing with this period of history, books with viable messages and of great influence, are all subjective, despite the data employed, since they arrive at different conclusions. There is far more data today than ever before, but does

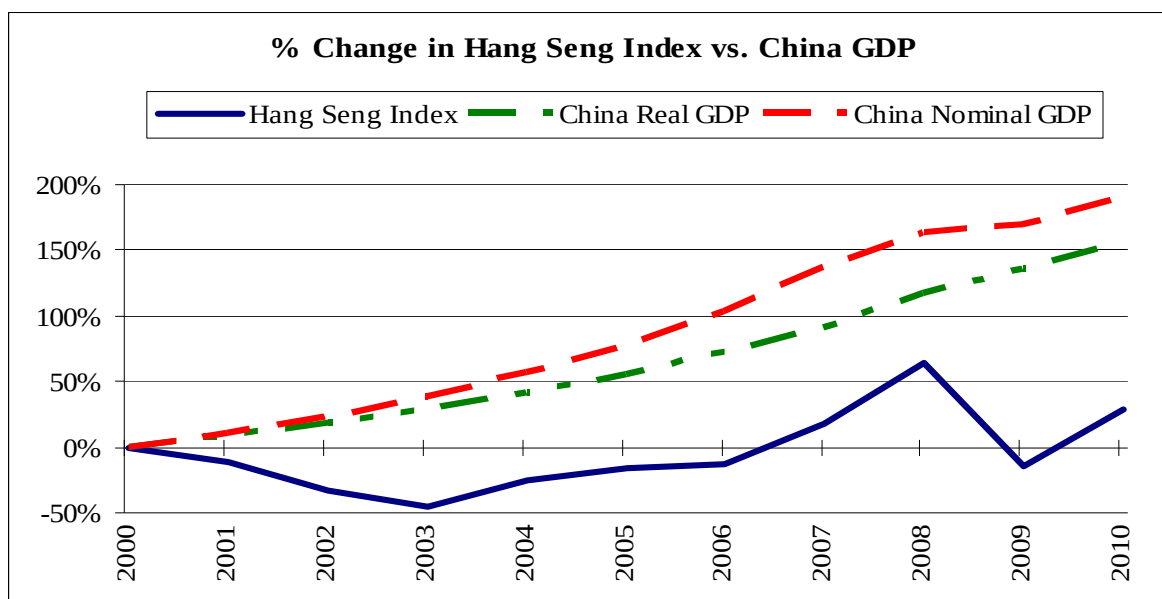
¹ <http://www.forbes.com/forbes/2009/1228/economy-ponzi-debt-peking-china-bubble.html>

this mean that there is more information or that there is merely greater capacity for subjective selection and use of that data?

Before addressing a few of the points of the article, let us state the following, which the article does not: at the end of January 2007, The Hang Seng Index, which might be said to be a reasonable measure of the Chinese stock market, closed at 20,106.42; three years later, at the end of January 2010, the index was 20,121.99. Therefore, that market has barely advanced in three years, despite the growth in the economy.

One could then pose the question: Do equity investors actually discount much of what has happened in China? Well, here are some statistics. During the three-year period ended 2008 (2009 data as yet unavailable), the Chinese economy expanded at an 11.2% annual rate, or by a cumulative 37.5%.² Moreover, these figures are on a “real” GDP basis, after subtracting for inflation – but the stock market index, of course, is on a gross or nominal basis. Company revenues and earnings are, as we are entirely accustomed to, reported on a nominal basis as well. On a nominal basis, China’s GDP rose by 63% during that period.³ Consequently, at least in an equity evaluation sense, there wouldn’t be any bubble.

Here are some additional statistics: For the 10 years ended 2009, the Hang Seng Index rose at an annual rate of 2.6% per year, but China’s GDP compounded at a 9.8% annual real rate and a 15.9% nominal rate. For the 5-year period ended 2009, the Hang Seng Index compounded at a 9.0% annual rate, while China’s GDP compounded at a 10.5% annual real rate and a 19.8% annual nominal rate.⁴



² Source: International Monetary Fund, World Economic Outlook database, October 2009. www.imf.org

³ *Ibid.* 2009 GDP based on International Monetary Fund estimates as of October 2009.

⁴ *Ibid.*

Expressed differently, China's real GDP increased cumulatively by 155.4% from 2000 through 2009, while the Hang Seng Index increased just 28.9% cumulatively; therefore, it would take a contraction of 49.5% in Chinese real GDP for these growth rates to converge; as a comparison, the US economy recently experienced a contraction of 1.3% in 2009.⁵ A contraction in China of the former magnitude appears absurd.

As stated, we most profoundly disagree with the premise of the article and other popular superficial statements that China is a bubble.

The Forbes Article's Non-Bona Fide Comparisons

The fifth paragraph of the article states that although there is \$840 billion in public Chinese debt, or less than 20% of GDP, the Chinese government might be said to be implicitly liable for real debt amounting to 70% of GDP if one adds the \$1.5 trillion of province and city debt, and the roughly \$1 trillion of so-called policy loans by Chinese banks. The author then proceeds to compare that figure to the U.S. public debt on June 30, 2009, which at the-then reckoning of \$7.2 trillion, was less than 50% of GDP.

This involves a bit of rhetorical slight-of-hand: the U.S. national debt was \$7.2 trillion on June 30, 2009, only if exclusive of loans from the Social Security Trust, for which the government is clearly liable. It is unclear why the author only chose to include part of the US debt as the Treasury Statement of January 29, 2010 records \$12.2 trillion of debt. This clearly exceeds 50% of GDP, which was approximately \$14.3 trillion in 2009.⁶ One could easily add state and local debt; the roughly \$1.6 trillion of Freddie Mac and Fannie Mae debt; and the various guarantees that both entities have made, which number in the trillions of dollars. While not, formally speaking, debt these are nevertheless contingent liabilities of the companies in question and implicit liabilities of the U.S. Treasury.

In essence, the comparison the author uses is not a bona fide comparison. The author is not necessarily wrong; rather, given the wealth of data available, the question is about which data one chooses to use, which is why, viewed through the filter of language, the whole question of a bubble becomes so subjective. Employing a methodology similar to that used by the author, the U.S. debt is clearly in excess of 100% of GDP.

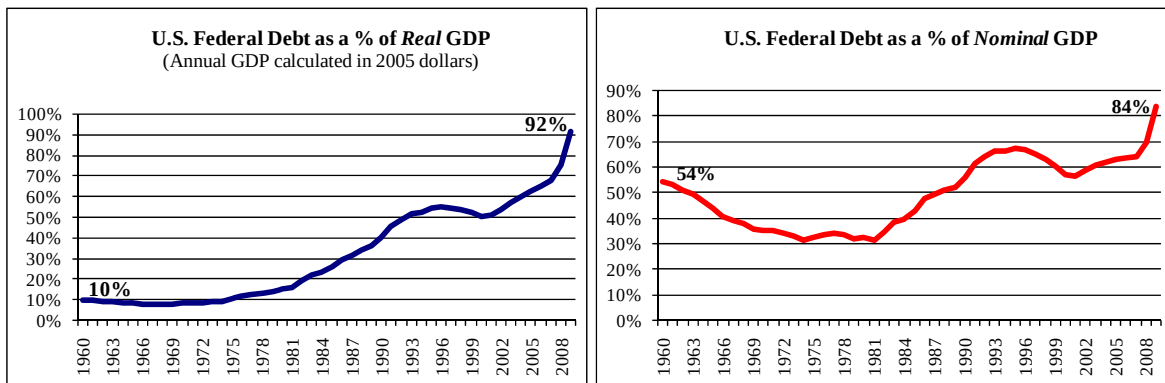
Mis-Matched Indices

The 16th paragraph is interesting, as it contains a highly popular form of statistic that is quoted often, yet is always erroneous. It states that China adds \$7 in fresh credit for each \$1 of GDP created. On any given day, one might read an article or see a chart about the amount of debt required to increase GDP by \$1. While an interesting statistic, it has very little meaning: debt is always calculated at its nominal face amount, while GDP is customarily calculated in inflation-adjusted, or constant, dollars. Therefore, the running tally of debt is presented in nominal terms, while the running tally of GDP is shown at the

⁵ Source: U.S. Bureau of Economic Analysis. <http://bea.gov>

⁶ Bureau of Economic Analysis: www.bea.gov

lower, real rate. Consequently, the debt-to-GDP ratio will rise over time. It is true of the U.S. and of any industrialized nation. The following two charts illustrate this important point. The left-hand chart is the version typically displayed to the public: the annual progression of U.S. federal debt as a percent of *real* GDP. Calculated in this manner, debt increases 9-fold, from 10% of GDP in 1960 to 92% in 2009. The more valid calculation, of nominal debt to nominal GDP, is shown in the right-hand chart. Calculated in this manner, the increase is only a little more than half, from 54% to 84%.⁷



Evaluation without Analysis

The third from last paragraph makes a rather cogent point by bringing into analysis an equity security: Evergrande Real Estate. The author finds it astonishing that a company that formerly had difficulty in raising short-term debt was, some months ago, able to easily raise US\$800 million in an IPO. The author remarks that the company is really a real estate developer and that once the real estate developed is sold, the profit is booked as earnings. Under American accounting conventions, this would be non-recurring income or an extraordinary profit, and absent these extraordinary profits the company can't be said to have any profit. Therefore, by what rationale, the author wonders, does it have a US\$7.2 billion market capitalization?

Consider the following. First, Evergrande owns 551.1 million square feet of undeveloped land at an average cost of \$6.01 per square foot. The market value of the company, as will be calculated below, is equivalent to paying \$15.77 per square foot for the raw land. In principle, a 100-square-foot lot should cost (at 100 x \$15.77) \$1,577 per lot. We would be very interested in buying property in the metropolitan areas of China, such as Beijing or Shanghai, at \$1,577 for 100-square-foot parcels.

Second, this company has \$5.3 billion of assets, of which \$747 million is cash and restricted cash, and \$347 million is prepayment deposits and receivables for properties already sold. Against this \$1.1 billion of cash and cash assets is debt of \$1.5 billion. Equity is \$1.3 billion:

⁷ Federal debt figures published by U.S. Department of the Treasury at www.treasurydirect.gov

Evergrande Real Estate "Selected Items from Balance Sheet" June 30, 2009	
Unrestricted cash	\$ 435 (million)
<u>Restricted cash *</u>	<u>311</u>
Total cash	747
Receivables from property sales; prepayments from 3rd parties for acquisitions of land rights, other	347
Total cash and cash assets	\$ 1,094
Borrowings	1,489
Shareholders' equity	1,318
* Evergrande is required by the government to place the proceeds received from the pre-sale of properties as guarantee deposits, to be released after completion of construction or transfer of ownership.	

Let us calculate the enterprise value, not on a net-of cash-basis, which is the correct way, but rather on a gross basis by ignoring the cash assets. The sum of the company's US\$7.2 billion market capitalization and its total debt results in a gross enterprise value of \$8.689 billion. This figure deliberately overstates the valuation because the cash is not netted out against it. Consequently, we arrive at a value of \$15.77 per square foot.

There's nothing in the valuation that calls into question the rationality of the equity owners of this company. The valuation may prove to be high, depending on how the company makes use of its assets, or it may prove to be low if it deploys its assets wisely. However, it is not on a prima facie basis a preposterous valuation. Nevertheless, the valuation of Evergrande Real Estate is stated as such via the manner in which the article is crafted, because of how data is presented. If data is presented in an emotive manner, with all due respect to the author, a certain impression is necessarily produced.

An entirely different impression could be produced with a different selection of facts. For example, in 2009 the Beijing Land and Resources Bureau sold a 318,611 square-foot plot of undeveloped land to a real estate developer for \$145.63 per square foot. This plot was located in the Changping District of Beijing, which is north of Beijing City Proper and known for its orchards and farmland. Then, there is a real estate developer known as Xinyuan Real Estate Co., which trades on the NYSE and has substantial undeveloped land reserves in the cities of Zhengzhou (the capital of Henan province with a population of 7.3 million) and Chengdu (the capital of Sichuan province with a population of 11.0 million). In the fourth quarter of 2008, Xinyuan sold approximately 60,300 square meters of this raw land at an average of \$81.46 per square foot. Of course, we are lacking important information about these transactions that would be critical to a detailed understanding of

their value. There is only one thing that is clear about them: they are substantially higher than \$15.77 per square foot.

Conclusion

For all of the above reasons, we do not believe that the Chinese economy is in a bubble. That said, the loudest voices on the subject are likely to create extreme interim volatility in share prices. You may recall that it was just less than a year ago that the general consensus view was that China's growth engine was dead, thoroughly dependent on the US to survive, only to quickly prove to the world otherwise. We have found that investors are often rewarded to ignore short term fear mongering and focus on harnessing the long-term power of compounding by investing in companies that can consistently increase their earnings and book value. While it is not our desire (nor expertise) to try to predict short term market movements, we do believe there exist very attractive valuations on fundamentally stable businesses in China.

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